

The Appraisal Process Explained

Your Most Powerful Tool When the Insurance Company Won't Pay What You're Owed

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Insurance policies, state regulations, and case law vary significantly from state to state and change over time. Always consult with a licensed public adjuster or attorney in your state before making decisions about your insurance claim.

The examples and scenarios described in this guide are drawn from real-world experience but have been generalized for educational purposes.

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Process Explained

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Chapter 1: What Is Appraisal — And Why Should You Care?

Buried in nearly every homeowner's insurance policy is a clause most people never read until they need it. It's called the appraisal clause, and it may be the single most powerful tool available to a policyholder who disagrees with their insurance company's valuation of a loss. Appraisal is a dispute resolution process written into the insurance contract itself. When you and the insurance company can't agree on the amount of a covered loss, either side can invoke appraisal. It's faster than litigation, far less expensive, and in most cases the result is binding. Yet most policyholders have never heard of it. Most adjusters won't mention it. And many insurance companies actively try to avoid it — because appraisal tends to produce results that are significantly higher than the insurance company's initial offer. This guide explains how appraisal works, when to use it, and how to navigate the process to get the settlement you're entitled to.

Chapter 2: How the Appraisal Process Works

The appraisal process is straightforward in concept, though it can become complex in practice. Here are the basic steps:

1. Either you or the insurance company 'invokes' appraisal by sending written notice to the other party.
2. Each side selects its own appraiser — a qualified person who understands property damage and valuation.
3. The two appraisers attempt to agree on the amount of loss.
4. If the two appraisers can't agree, they select an umpire — a neutral third party.
5. Any two of the three (your appraiser, their appraiser, and the umpire) can make a binding award.
6. The insurance company pays the award, typically minus your deductible.

The key concept is 'two agree.' The umpire doesn't decide alone. The award is made when any combination of two out of three agree on the amount. In practice, this usually means the umpire agrees with one side's appraiser, or more commonly, the umpire arrives at a number between the two positions and one appraiser agrees to it. Amount vs. Coverage Appraisal only resolves disputes about the AMOUNT of loss, not whether the loss is covered. If the insurance company is denying coverage entirely — saying the damage isn't covered under your policy — appraisal won't help. That's a coverage dispute that requires legal action.

Chapter 3: When Should You Invoke Appraisal?

Appraisal makes sense when you've reached an impasse with the insurance company on the dollar amount. Typical scenarios include:

- The insurance company's estimate is significantly lower than your contractor's bid.
- The carrier refuses to include legitimate line items in their scope.
- You've submitted supplements or additional documentation and the carrier won't budge.
- The carrier has depreciated your claim excessively or improperly.
- You've been going back and forth for months with no progress on the amount.

When Appraisal May NOT Be the Right Move

- If the carrier is denying coverage — appraisal only resolves amount disputes.
- If you're past the statute of limitations — the carrier may refuse to participate.
- If the dispute involves bad faith conduct — appraisal doesn't award damages for bad faith.
- If the dollar amount in dispute is small relative to the cost of appraisal.

One thing many people don't realize: invoking appraisal does not prevent you from filing a lawsuit later. In many states, you can still pursue legal action for bad faith even after appraisal resolves the amount dispute. In fact, some attorneys prefer to have the appraisal award first, because it establishes that the insurance company owed significantly more than they paid — which becomes evidence of bad faith.

Chapter 4: Choosing Your Appraiser

Your choice of appraiser is critical. The policy typically requires that each side select a 'competent' and 'disinterested' appraiser. What does that mean in practice?

Competent

Your appraiser should have real expertise in property damage assessment and repair costs. This usually means someone who works in the insurance claims industry — a public adjuster, a licensed general contractor with claims experience, or an experienced independent adjuster who works for policyholders.

Disinterested

Disinterested means your appraiser doesn't have a personal financial stake in the outcome of this specific claim. This doesn't mean they can't be paid for their time — they absolutely should be. It means they shouldn't have a contingency arrangement where they earn more if the award is higher, and they shouldn't be someone who stands to profit from the repair work itself. The insurance company will often challenge your choice of appraiser, claiming they're not 'disinterested.' This is usually a delay tactic. A public adjuster who is being paid a flat fee or hourly rate to serve as appraiser is generally considered disinterested, even though they're being compensated.

Quality Matters

Choose an appraiser who knows how to write detailed, professional estimates. The umpire will be comparing your appraiser's work against the carrier's appraiser's work. Professional, well-documented estimates carry more weight.

Chapter 5: The Umpire — The Most Important Person in the Process

If the two appraisers can't agree — and they usually can't agree on everything — an umpire is selected. The umpire is the person who will most likely determine the outcome of your claim.

How the Umpire Is Selected

The two appraisers are supposed to agree on an umpire. If they can't agree, most policies say that either party can ask a court to appoint one. This is where strategy matters. There is no universal requirement for what qualifies someone to be an umpire. It could be a retired judge, an experienced appraiser, a public adjuster, or anyone else the parties agree on. What you want is someone who is genuinely neutral, understands construction and repair costs, and isn't going to just split the difference.

The 'Split the Difference' Problem

One of the biggest misconceptions about appraisal is that the umpire will simply average the two appraisers' numbers. Some umpires do this, and it's lazy and unfair. A good umpire examines the evidence — the estimates, the documentation, the photos — and makes an independent determination of what the damage actually costs to repair. If the carrier's appraiser submits a bare-bones estimate with no documentation and your appraiser submits a detailed, well-supported estimate with photos, measurements, and pricing justification, a competent umpire should give more weight to the better-documented position.

Documentation Wins

The quality of your appraiser's documentation can make or break your appraisal. Detailed estimates with photos, measurements, material specifications, and pricing justification will outperform bare-bones spreadsheets every time.

Chapter 6: How Insurance Companies Try to Undermine Appraisal

Many insurance companies don't want to go to appraisal because they tend to lose — meaning the award is usually higher than their last offer. Here are common tactics they use to delay or derail the process:

Refusing to Participate

Some carriers will simply ignore your demand for appraisal or claim that the dispute isn't 'ripe' for appraisal. In most states, if appraisal is in the policy, the carrier must participate when it's properly invoked. If they refuse, you can petition the court to compel appraisal.

Challenging Your Appraiser

The carrier may object to your choice of appraiser, claiming they're not 'disinterested.' This is often a stalling tactic. Be prepared to defend your choice with evidence that your appraiser has no contingent financial interest in the outcome.

Running Out the Clock

If the statute of limitations is approaching, the carrier may agree to appraisal and then drag their feet — hoping the statute expires before the award is made. Be aware of your state's statute of limitations and how appraisal affects it. Scope vs. Amount Games The carrier may try to exclude certain items from appraisal by claiming they're 'coverage disputes' rather than 'amount disputes.' For example, they might say overhead and profit isn't a question of amount but a question of whether it's covered — even though O&P is a standard construction cost. Push back on this.

Chapter 7: After the Award

Once two of the three participants agree on an amount, the appraisal award is typically binding. The insurance company must pay the awarded amount, minus your deductible and any depreciation holdback (which you can recover later after repairs are completed, if you have replacement cost coverage). Can the Carrier Challenge the Award? In rare cases, an insurance company may try to vacate (overturn) an appraisal award in court. This is difficult to do. Courts generally uphold appraisal awards unless there was fraud, bias, or a clear procedural error.

Bad Faith After Appraisal

Here's something powerful: if the appraisal award is significantly higher than what the insurance company originally offered, that gap is evidence. It shows the carrier was underpaying you. Many plaintiff attorneys use appraisal awards as the foundation for bad faith lawsuits. The majority of insurance litigation cases where the insured wins against the carrier are actually breach of contract cases — the carrier simply didn't pay what the policy required. Bad faith is a separate, harder claim to prove. But a large gap between the carrier's offer and the appraisal award makes both claims stronger.

Appraisal Creates Evidence

Appraisal doesn't just resolve the amount dispute — it creates a record. If the award is substantially higher than the carrier's offer, that becomes powerful evidence if you later need to pursue legal action for bad faith.

Chapter 8: Practical Tips for Policyholders

1. Read your policy's appraisal clause before you need it. Know the exact language and procedure.
2. Invoke appraisal in writing — certified mail, return receipt requested.
3. Choose your appraiser carefully. Experience and documentation skills matter more than anything.
4. Keep all communication in writing. Verbal agreements can be denied later.
5. Understand the difference between amount disputes and coverage disputes.
6. Be aware of your state's statute of limitations — appraisal doesn't always toll it.
7. If the carrier refuses or stalls, consult an attorney about compelling appraisal through the court.
8. Don't assume the umpire will split the difference — good documentation can win the whole amount.
9. Consider hiring a public adjuster to represent you through the appraisal process.

10. Save the appraisal award — it may be valuable evidence if you need to pursue further legal action.

If you're dealing with an insurance company that isn't treating you fairly, you don't have to fight alone. A licensed public adjuster works for you — not the insurance company — to make sure you receive every dollar you're entitled to under your policy. Visit: insuranceclaimsinfo.com Free resources, guides, and expert help for policyholders Leland Coontz California Licensed Public Adjuster

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